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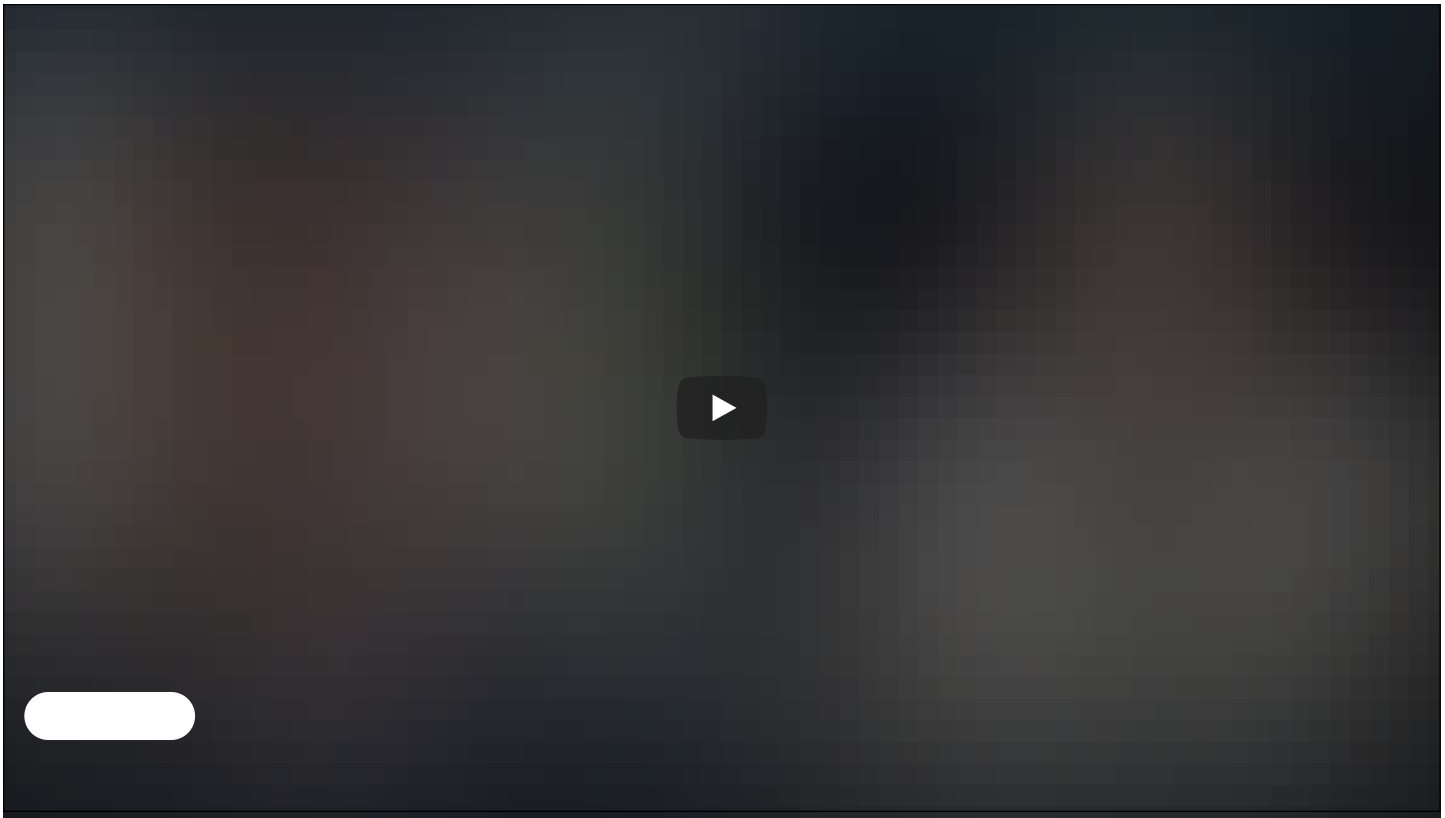

In this video

Chapters Transcript

Chapter 1: Intro

0:00 I call it the eight modes. Data mode, workflow mode, regulatory mode, distribution mode. We're on number five. I'm loving this.

0:06 Ecosystem mode, network mode, physical infrastructure, and the eighth one, I would say, scale mode. I think anything four or more, you're pretty damn secure.

0:15 I'm thrilled to welcome one of the best operator turned investors of the last two decades, Gawk Rajaram. You cannot be a single product company.

0:23 Vertical products, you've got to really own full stack. It's harder otherwise to be a 10 plus billion dollar company. What's the biggest miss? Is it banter? Most recent sequins, but to be honest,

0:31 even bigger miss than that in some ways. It's not a miss in terms of investing.

0:34 We said ready to go.

0:49 I've wanted to do this for years and you have I mean you've coily played hard to get let's put it mildly uh after my

0:57 continuous WhatsApp messages but thank you so much for joining me today man it's my pleasure to be here my friend thank you again

Chapter 2: Lessons from Google, Facebook, Square & DoorDash

r companies that you've worked at have shaped your investing mind

e how did that shape your mindset for the types of companies that you

experience is Google taught me that ultimately the best companies

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1:38 was really good at was building amazing product. Sometimes the go to market worked sometimes it didn't work. So but at the core was remarkable product. So I

1:46 think I ultimately my core investing thesis is that if there is not a remarkable product all the go to marketing distribution in the world will

1:55 not save you. So that's I look for what the remarkability is in the core product or value proposition of the company. Is it 10x 100x better than the alternative?

2:04 I'll I'll tell you a story at Google.

2:06 When I joined in 2003 there was a project going on called Caribou internally. I was like what the hell is this? This was web email which gave 1

2:15 GBTE free storage and back then Yahoo mail offered 10 megabytes of storage. So it was 100x. I thought it was truly I was like there's no way it's possible.

2:23 And turns out it was and it was released on if you remember April 1st 2003 and that people thought it was an April Fool's joke. But that was Google literally taking something that was

2:31 unbelievable and making it reality. And so that's that's the kind of products I like something remarkable something unique something powerful.

2:39 I like it. It reminds me of actually Neil Ma who talks about kind of jaw-dropping customer experience as one of his kind of core monikers for thinking about companies and

2:46 investments. Next we have Facebook. How did Facebook impact the types of companies that you like? What is interesting is that even if you have a

2:54 remarkable product uh you still need distribution. Facebook taught me the power of distribution. Mark I think is

3:01 Mark Zuckerberg is probably the best um I would say uh distribution genius in

3:08 the world. he would look at a product and say this is how this product is not going to work and it taught me the power of multiplayer products in particular I

3:17 think uh most software products are single player and as soon as you make the multiplayer there is a uniqueness in switching distribution etc that comes

3:25 about Facebook by nature you can't use it if you only have one person on Facebook and so when I saw Figma the

3:34 power of Figma I felt was it was not just that a person could use it but it was much easier to share with other people in your company and I think the best PLG software companies are those

3:42 that you can use multiple people can use and it increases defensibility. So the power of distribution and multiplayer products.

3:49 What about Square? Square was an amazing journey. What did you learn from Square that you've taken to your investing? The power of a multi-product portfolio.

3:58 I think at Square when I joined we were a single product company payments and payments only. uh when I left we had I think 11 products each doing more than

4:06 50 million in revenue and one of the interesting metrics was we went our key northstar metric went to median number of products used by a seller by a

4:15 merchant turns out that the more products that a merchant uses the more retentive they are the more sticky they get so

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have you cannot be a single product company uh you've got to make

ber two needs to emanate very naturally. It can't be like this completely

, it was a product called Square Capital, which was basically a cash

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4:54 going in and out. And um it was a beautiful product. And the the the interesting thing about having a multi-product portfolio is that not every product needs to generate profit.

5:04 I think there is a uh people always like oh it's not making money. Square capital didn't make much money but it was very good for retention. Some products are

5:13 good for making money. Profit they're part of the profit pool and some are good for retention. Companies need to be very clear which are the profit pool

5:20 products and which are the retentive products. If you confuse the two your teams don't know and they're built for the wrong outcomes. But the power of a multi-product portfolio and being able

5:28 to have pro products with different goals, retention versus profits.

5:34 I I love that in terms of it doesn't need to be profitable. I also just see so many investors stay being relatively inelastic in terms of their mindset on margin where it's like oh the margins

5:42 are [__] and it's like I don't you know going to our next company negative gross margins for the first like first year I

5:49 think. Uh negative gross margins dude I I don't think Door Dash had great gross margins for the first few years either. I think Dan Deliveroo did who obviously Door Dash acquired and so it's

ny that we kind of repeat the same mental cycles of oh the margins are [__] and it's like yeah so were the best companies margins Spotify didn't have great margins for a very long time and

6:07 their margin increase has been amazing actually dude Door Dash what is the lesson from Door Dash it was the most operational of all four companies I

6:14 thought I was a good operator but when I got to Door Dash I really realized what operations means and so a lot of my philosophies around how to truly operate

6:23 in a hard hard in hard mode have been shaped by it. It really was the epithesis or the epitome of I think how product and operations can work together

6:31 in the physical world. So how it shaped my uh my investing philosophy is the kinds of people that that came out of

6:39 Door Dash. I think they are I I just think they are excellent and I try to get them. It's really around hiring.

6:45 It's around talent. It's around taking really hard problems and solving. I'll never forget when COVID hit as you as you know most restaurants were shut down

6:53 for the first for the first couple of weeks and so Door Dash had to make a very hard call around how to basic what

7:01 to do how to get these restaurants to open and ultimately we decided to not take any revenue share from these restaurants for a month. Uh even though

7:09 we were a private company we had some amount of cash on the balance sheet and that really hurt. It was the right thing to do in the long term, but it was extremely painful in the short term.

7:18 You spoke about kind of the skill of operators to work both in a physical and in a softwarebased environment there with Door Dash. You know, with Project Europe, which we chat about before,

7:28 we're seeing all of our hardware companies be so freaking popular right now because everyone's just terrified that bluntly Anthropic is going to eat

7:36 their lunch as we keep seeing with Anthropic doing security and security stocks plunge. I want to talk about the SAS apocalypse because my job with this

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Markets Are Overreacting to AI

me and I'm lucky to do that here. Is the volatility that we're seeing

ty?

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8:06 code is becoming free uh at the low end and becoming much easier to generate and create at the high end uh the market

8:15 decided that every software company is going to zero. I think this is 100% an overreaction because not all software companies are created equal and we can

8:22 talk about what the difference are. I actually um have spent the last few days thinking about the different not even last last few months. This is the I mean both you and I think about this a lot.

8:32 What are the characteristics u of a durable software company? And I think there is there's a few that we can talk about but yeah I I think it's

8:41 absolutely I think everything has been painted with the same brush at this point. It is absolutely an overreaction.

8:46 You're going to leave me with a cliffhanger goal. You're like there's some very durable characteristics. We can talk about them if we want. I I would love it if we could talk about them. Can you please help me understand?

Chapter 4: The 8 Moats Framework: How to Identify Durable Software Companies

8:56 It's basically a play on Hamilton Helmer's seven parts, but it's slightly different. I call it the eight modes.

9:00 The first mode is data mode, which we all talk about, but it truly has to be proprietary. It has to be data that nobody else has access to. I think Spotify is a good example. If you look

uh the discover product, it uses a decade of listening behavior across hundreds of billions of people.

9:15 You can't create that listening that that discover product easily. Second is the workflow mode, which a lot of people argue it's a weak mode. I agree by itself. It's a weak mode but the deeper

9:23 you're embedded in the company running their operations moving their money the the deeper the workflow mode is just by itself I don't think it's enough in

9:31 perpetuity but the deeper your embedding is for example Netswuite is an ERP that runs your business they have a much much deeper mode than say Zenesk which is a

9:39 lighter workflow mode so that is a mode you can say it's one maybe Zenex is 0.5 Netswuite is a one third one is regulatory mode so licenses uh capital

9:48 require multi-year procurement contracts Coinbase when I'm on the board is great example. They have MTLS, money transmission licenses, state byst state.

9:55 They raise with a phiny CN all of those things. It makes it impossible for a company to use anybody else and Coinbase to custody their crypto because of that

10:03 reason. Fourth mode is a distribution mode uh where you have propritor exclusive distribution. Intuit is a great example. Anybody who wants to

10:12 build an accounting system, think about it. Intuit I remember when I started a company was after Google. I basically tried to use this company called Zero XRO and I was like, "Let's use Zero.

10:21 It's like the new it had just started.

10:23 It seems like a cooler interface." My I my accountant said, "No, I'm sorry. I don't use Zero. You shut it down." I had to cancel Zero and go to QuickBooks.

10:31 What a great distribution mode. You've trained a network of CPAs to only on QuickBooks. I don't know if they have a commission or what they get, but that's a proprietary distribution channel that

osystem mode. If you have a platform or ecosystem where many third

pify is a great example.

orm. No problem. But can you wipe code the hundred thousands of

t I know uses like at least five or six other third party apps. That's a

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11:14 code uh the ability to access restaurants but it can't wipe code liquidity career density reputation history all of those things so

11:21 marketplace density is a network effect which is which is structural seventh one is the thing you mentioned physical infrastructure right atoms wherever you

11:30 have atoms it makes for a mode that's hard to displace you can't again I think humanoid robots will maybe at some point start taking but it's probably a few

11:39 years away and The eighth one I would say scale mode. If by virtue of your scale your costs are so low that it's hard to replicate. I think Amazon is a

11:48 great example. TSMC in semiconductors scale modes. So those are the eight modes basically uh data um workflow

11:56 regulatory distribution ecosystem network physical and and scale. And so what you do I think any one of these

12:03 modes is not enough. Uh but what you want to do is you want to take a company and score it across them. Maybe you assign one point to each mode they have. And I think anything four or more,

12:12 you're pretty damn secure. But if you have a two or three, it's a weak mode.

12:17 And if you have one or less, you probably need to really build some more modes. So you're not you need to do something u to make up for. If you have zero, you're you're screwed. Basically,

‹tlassian vs Monday: Which SaaS Companies Actually Have a Moat?

12:26 I I'm just doing a thought exercise. So we have Atlassian and we have Monday.

12:30 They're both down kind of 75%. Um I've had both their CEOs on the show. If you look at them and you put them across this eight kind of rules,

12:40 you would probably say that Atlassian is being massively oversold and that Monday, as awful as it sounds, is maybe

12:48 being rightly priced in this environment.

12:51 I agree with that. I think Atllesian has you could argue they have proprietary data now. They need to use that data to build products. They have unique

12:59 proprietary data on all the code out there because it's being checked in. We there's a lot of stuff they have which which they need to use for better. They

13:06 have a workflow mode. Uh they don't have a regulatory mode. I don't know about distribution mode. Need to think of where they have something there.

13:13 Ecosystem mode. I think there's a lot of third party things that are built around them. So they at least have a score of three here. Uh they have a network mode. You could do they have a network mode?

13:21 No, I don't think they're not a network effects company the way you think about it. They have a physical mode and they don't have a scale mode. So they have a

13:28 score of three. Monday probably has a score of one. I think they have a workflow mode. I'm not sure if they have the other modes. So, you're right.

13:35 Monday in theory has a much weaker um uh score I guess than than Atlacian on this.

13:42 This is so unfair of me. How would you think about Clavio or Clavio in this way? Like when you look at bluntly the ability for public companies to build

13:51 good agent products, it would seem very obvious that Shopify will bluntly build Clavio now in the need to reacelerate.

ild it. Shopify is an investor and Shopify I think has decided at least in

hink they decided this is not part of their mission to build this product.
ome

u know a year ago. So it's easy

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14:29 excluded brand. I don't know how strong Shopify's promotion of Clavio is. I think a lot of it depends on whether the

14:37 proprietary distribution they get from Shopify is how strong and tight it is.

14:41 If Shopify is actually going to promote them as a you know when you when you search for uh messaging or communications if they are just like you

14:50 know Google has a morph with Apple when you use Apple you basically Apple products you get Google search engine.

14:55 If Clavio is a preferred product and they have a relationship that makes it work, I think it's very hard to displace them. It's hard to at least displace that part of their business.

15:03 Dude, you just throw a grenade in and like don't expect me to pick up on the I think brand mode is not so relevant anymore. I just actually had Elena Verer

15:12 who's the head of growth at lovable on our 20 growth show and she said that actually brand is the most important thing as you commoditize technology and

15:19 it's easier and easier to create. How people resonate with a brand is the most important. Why do you think brand mode is not as important?

15:28 Businesses are much more rational uh in thinking about it. Less less irrational I think uh and the alternatives are going to be much stronger. I think on

sumer side consumers are much more like dollars and there is there is dollars and cents but there is a natural

15:43 inclination to just trust brands. I I think on the business side it is going to get weaker. I think I I actually disagree a little bit because switching

15:51 costs are so much lower, right? One of Hamilton Helmer's seven powers is switching costs. I think switching cost is just going to go to essentially zero

16:00 because over the next one or two years ability to port data your data as a business or consumer from any ecosystem to another ecosystem is going to be very

16:08 easy and then people are going to be able to replicate almost pixel by pixel the experience you have with one product

16:16 in a different product. You'll have clones popping up left, right, and center? And data portability is going to be easy. In that case, what is that brand really? It's like in in

16:25 professional sports, you know, you kind of cheer for do you cheer for the player or the team when they when they switch teams.

16:30 I need your help because the one that I continuously oscillate on is is Salesforce. Um, when you say about data portability being increasingly easy, we

16:38 had Seb from Cloner on the show. He said agents would make data migration from systems of record increasingly easy. So they wouldn't have the lock in that we think or you reduce the switching costs.

16:48 But then I look at your you know eight factors and I'm like well they have workflow they have distribution they

16:56 have ecosystem they have scale. Well they don't have scale they their scale means that it is cheaper for them to produce. I think they have a score of

17:04 three because that's the thing software earlier was a scale game where because you had produced a lot of software it was cheaper for you to produce a lot of software. Guess what? Now everybody can

17:12 produce software as cheaply as anybody else. If they had their own data centers like the h I think hyperscalers are the

ly that they have scale or people in the physical world a pure software

here they have a score of three I would say. And so do you think

tive given the data portability increasing?

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17:50 and commoditize a complement by giving by figuring out where the profit pool is I think they have to figure out is the profit pro in the data profit pool in the data or the workflows. If it's in

17:59 the workflows, they need to make data storage free and basically change pricing to an outcome based model based on workflows. If they feel the profit

18:06 pool is in the data, then they need to give away these workflows for free. And so they need to really commoditize all the agentic companies at UI and no that

18:14 are trying to build on top of them and charge for that. They need to build better products using their data and make it free. And I think that's the way

18:22 that a Netswuite or a Salesforce system record needs to operate. They have to commoditize a compliment. they can't just wait around for other people to build on top of them.

18:30 We're seeing buybacks like like never before for your work days and your sales forces of the world. Is that truly indicative do you think of like internal

18:38 company confidence or do you think it's a necessity to externally show the world that we are confident?

18:44 It's both it they are confident internally but they need a signal to show that they are confident. I think the founder buyback is the most the

est signal. It's not just the company but also the founder. Did you see Service Now CEO's 3 million buyback? And then they saw that his garage of,

19:00 you know, classic cars was like three times as much. I was just like, "Oh, that's a bad comm's move."

19:08 Yeah. I think there are there are buybacks and there are there are buybacks with a capital B. You want the capital B one. You want a CEO of a large

19:14 company to do a 20 $50 million buyback to show.

19:18 I completely agree, dude. We've seen we've mentioned Monday. We see companies like Notion, like Amplitude. mixing publics and privates, but kind of growth

Chapter 6: Bolt-On AI vs Real AI Products: Why Most Companies Are Doing It Wrong

19:27 stage companies and even privates um do bolt-on strategies. Hey, our core product with a bolt-on of AI. How do we

19:35 determine bolt-on AI strategies that work versus bolt-on AI that doesn't?

19:42 I think the bolt-on AI, it's an interesting thing. The bolt-on AI strategy by itself has a real ceiling.

19:47 But I think the companies where the bolt-on really works are the ones that reframe what the product does, not just add the capabilities. So I think you you

19:56 know for example if you just add AI search u as there's one thing you just add AI search or you build search as an

20:03 experience with new UX primitives I think one is just an upgrade the other is doing completely something completely

20:10 different. So I feel you got to so notion for example I think very highly of them. I think notion is adding AI.

20:17 You mentioned they're adding a lot of AI agents and I'm hoping that the way they've added it, I've actually played around with the product. I think it's pretty good. But the AI agents need to

20:25 now get better based on how the user interact with it and they need to tune the model for their customer base. Most bolt-on players are not doing it.

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odel and they're basically just adding a thin layer. You have to

ink by you do that by identifying something where AI doesn't

ce and the economics. Document processing was a good example. I

tructured documents till about 6 or 9 months ago. Now you can reliably

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21:11 them immediate insights from the document while they're uploading it versus like the same document upload thing. That's crazy because now you

21:18 should be able to infer any document that enters what the hell is going on instantly. So you need to re-evaluate every single interaction and say what

21:26 has changed. That's that's the biggest difference in product development today.

21:29 you know, model capabilities are improving every 6 months because if you have too long a product road map, you're going around a program and the model comes and just blows it out of the

21:37 water. So, you've got to really understand what the capabilities are of each new generation and make sure you can't have too long a road map because your road map is going to be blown out by the next next model uh iteration.

21:48 Speaking of being blown out by the next model iteration, how do you as an ambassador state educate me? How do you

21:54 ascertain safety from model intrusion versus in the way of models and you will be eaten with the next update?

22:03 If you have some of the other ones which are physical and so on, it becomes easier. If you're a pure software companies, which of those apply to you?

22:09 I think fintech is a good one. I think we used to fintech goes through these cycles, right? I think fintech,

ılly at Marathon, we invest a lot in fintech. We actually think, oh my god, fintech is one of the best. If you're moving money, you're generally in a good place. So anything touches money

22:24 we feel there's a very strong mode there much more defensible and so data and workflow modes are the two things you're really hanging your hat on as a software

22:32 investor because like if you're not doing fintech um and then I think it early stage it's too hard to know what a distribution mode is unless you have

22:40 some hack and these hacks never really stand the test of time ecosystem too early to say network effects too early to say so really physical infrastructure

22:48 they don't have any software company scale they don't have any so it's really about okay go deep into what is the data asset you're creating does it get better

22:56 with time do I believe it get better with time are you building your own model over time are you fine-tuning a model and improving it over time and

23:04 then how deeply are you truly embedded in the workflow how deeply are are you just a lightweight thing that the underlying system of record could create

23:12 or are you building so the so these are the two things that you have to hang your hat on a data asset that gets better with every interaction and then a

23:20 workflow it's hard And I think pure software companies are hard. I think application software companies are hard.

23:25 You got to really believe that the founders can ship with great velocity uh to basically build that um and see proof of that compounding.

23:33 I got in trouble in the partnership the other day. I'm quite grumpy generally speaking. Um but yeah no yeah know my

23:41 Twitter is getting grumpier and grumpier. I know. Uh anyway um but you know I've met like you know support

23:47 agents you know voice agents for auto manufacturers for dentists for chiropractors for the and I'm like guys

se different verticals would you say Harry no no no you're

time uh they're able to fine-tune their own they are deeply embedded in

kind of like dentist cool agent is a little bit plaster on top of a wound.

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24:31 one function within a vertical. I think what you want to see there is the ambition and ability to truly own the full stack, build the whole product for

24:40 the vertical. Service Titan, for example, is a canonical example. It went public last year, great outcome, is still a sub10 billion company or

24:47 something like that. And they own like 30 they have, if you look at their S1,

24:50 they have 32 different products. And even after selling 32 different products and really being at least in the US for any service pro service like phys field

24:59 services company, they are the canonical company, they still are a $10 billion company. And I think uh you know what's you know what's astonishing when you compare that to a

25:07 Robin Hood is Robin Hood has 13 product lines now doing over 100 million in revenue.

25:12 13 Coinbase has 12 doing 100 million revenue. Exactly. You're a horizontal product. You're serving a broad base. I think vertical products you've got to

25:20 really own full stack. I think it's harder otherwise to be a 10 plus billion dollar company. I'm going for spice in a world of 2026.

Chapter 7: Can Vertical AI SaaS Still Build $10B Companies?

as venture investors do vertical SAS given the fund sizes that we have?

25:35 I think you can. Maybe the mega funds might say look it might not be $100 billion outcome. Uh but I think uh if

25:42 you're a if you're a 2003 $300 $400 million fund, you can absolutely create a $10 billion company because remember

25:49 one of the big changes is that vertical SAS does take over labor. Um and so vertical software, right? It's no longer

25:57 SAS. It's basically idea software as a service but it is services. So you're going after the services spent. So one of the interesting things as you know is

26:05 that verticals mostly especially if you're selling to small businesses they spend some amount of tooling but they spend a tremendous amount on both BO as

26:13 well as on human capital human labor. So you need to basically target those two spends and I think if you do that and you're committed to building the whole product you can. Absolutely.

26:23 You very kindly said before the show that you like the show that we do with Jason and Rory. Uh it's very humbling when I do the show for 10 years and then I find out that it's actually much more

26:30 popular when I actually bring other people on to do it instead of me. Uh always good for the ego. But Rory always says to me with AI, very simple, we need

26:39 to see the transition of spend from software budgets to human labor budgets.

26:43 And if we do, the TAM obviously opens up immensely.

26:46 Do you think we will realistically see that and maybe are seeing it already or do you think we will actually remain in software budgets as we have been in some

26:55 categories? No, we are seeing that. We are seeing that. I think the first one,

26:58 most businesses don't want to lay off people. So the way we are seeing it, the first thing that's happening is businesses are outsourcing to third party BPOS. Many of them in India,

because now you can offer the same service higher quality, faster,

s when somebody leaves, they don't replace that person. And the third

away but you're seeing absolutely BO spend. All the call center

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27:36 work in this space. How many different verticals doctor's office etc use call centers outside the US. They already have budget clearly allocated and

27:45 there's a better service. So, so I think it's BO spend first, don't replace the person second, and then potentially think about uh laying off. Um, and do you know Goldman Sachs and Barclays,

27:56 both financial institutions, both have over 30,000 people in India?

28:01 I didn't know 30,000. I thought there was like a few thousand. I didn't know 30,000.

28:05 Isn't that nuts? I was so shocked when I heard about that. I I I want to understand, but two different types of company profiles and what happens to them. We've got private companies. Um,

Chapter 8: What Happens to Slowing SaaS Companies Valued Too High?

28:16 and I don't want to pick on them, but it is helpful to give examples. I'm sorry.

28:20 They're my friends as well, so I can kind of do it and they'll love me hopefully regardless. Um, but like you know your sneaks, amazing security

28:28 business that's got great customers who love it, but it was valued at $7 billion and it's now 300 millionaire growing

[illegible] 15% What happens to that cohort which is a great business and serving great customers but 15% growth 300 million

28:45 and you've got a very high price. What happens to that private cohort?

28:50 There are two outcomes for these companies. All of us have those companies in in our portfolio. A bunch of them are going to become zombie companies and uh they're going to try to

28:59 add AI features as a last resort, not succeed and uh and be sold to PE. Even the problem is even that might not be a good outcome. know because PE itself is

29:08 struggling to digest the companies they bought a couple of years ago and the prices are resets they do have good

29:15 assets u you know I think they might I am seeing in some verticals there are companies merging uh with each other um

29:23 I think we'll see if that happens just to create more scale but it it'll be interesting but the hopefully the better outcome that many of them go to is with

29:31 strong leadership you basically can burn the bridges and create a completely new AI native product. I think you had the

29:39 intercom person uh intercom CEO right Finn great example podium another great example both of them with their new products have grown to 100 plus million

29:46 in a couple of years and basically just burn the bridges this is legacy software I think the more you fixate on how do we fix the business the less you're going

29:54 to focus on how do we create a new business so we've got to create a new business from scratch you have customers you almost got to say I'm going to be ruthless about migrating the customers

30:03 from the current business to the new new product even if it's even if it it's lower price. It's a bright thing to do and you got to have a sunk you got to abandon sunk cost fallacy.

30:15 How help me on podium that 100 million agent revenue. Okay, it triples 300 million and then it triples again 900

30:23 million. If the price today is five billion that I'm paying, I'm I'm paying

[illegible] at asset for that's what it would be priced in public markets for

[illegible] Publix to be way more than they are now. Do we not? I think you

[illegible] parts of the service budget in the businesses and that they will not

[illegible] ey'll be a multi-billion dollar company because earlier I think they were

[illegible] re on top

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31:10 to go after the entire stack not just the earlier piece of the stack they were in. and you want to be the only product

31:17 uh that the company uses and you want to replace as much of the digital labor as you can possible. That's the ambition.

31:24 So what you want to say is what's your market size here? How much in all your customers? How many people that do they have that are doing digital work and do

31:33 you have the ability to replace all of that payroll over time and all of the other things they're doing and take a part of the payments transaction

31:40 revenue. And if you think that's a big enough opportunity, that's when you invest.

Chapter 9: Seed Pricing vs Outcome-Based Pricing

31:44 Do we see the total death of seat pricing, my friend? I hear you completely in terms of that movement into services. Does seat pricing die and we actually have consumption based

31:52 pricing as the primary pricing mechanism? Seat pricing doesn't die. You know why?

31:56 If you look at Chad GPT enterprise, Chad GP enterprise is priced based on uh based based on seats because seats provide predictability for enterprise

[illegible] buyers. U but they don't drive expansion revenue by themselves. So you basically have to bundle a lot more into each

32:13 seat. So Chat, Jupyter, OpenAI sells seats based on different tiers where they have different functionality. I think Figma sells three different types

32:21 of seats. So you're going to see different kinds of seats. Now the big challenge is seatbased pricing which you alluded to is it breaks when the

32:29 product's core value is not about access uh but it's about uh something doing the work on your behalf. So at that point

32:37 charging per user doesn't make sense because user isn't the constraint anymore. It's a work output. So at that point you got to go to outcome based

32:44 pricing. So for example if I'm something like Harvey I don't know how Harvey prices I bet that they price based purely on how many contracts uh they

32:52 process versus how many people are using it. For example even if 100 people are using it and they process zero contracts in theory they should get zero. So I think you have two kinds of products.

33:03 You have access products and you have work products. Access products um is basically seat based uh like I think

33:11 Chad GB enterprise is a good example and then work products like Harvey are probably more outcome based and not seat based.

33:17 You mentioned Harvey there we are seeing increasing competition within certain categories. If I think about you know

33:25 law it's Harvey and Lagora. If I think about customer support, Sierra and Dakagon and there are dominant funded

Chapter 10: Is "King Making" Complete BS?

33:32 players. How do you think about the ability for firms to kingmake? Is kingmaking complete [__] Is it not?

33:39 I'm just intrigued to get your thoughts on that.

33:42 Kingmaking is a thing. I think it is a thing. You see uh earlier than earlier companies are getting these rounds that

ch really are eye opening.

npany executes on the promise.

decide to pile on or not and you know but but ultimately the the

't then it's just a bad bet. So yes, it is there but it by itself just because

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34:26 somebody with a $10 billion fund is playing a fundamentally different game than somebody with a $400 million fund.

34:31 Um, and if you try to play the same game they are, you're going to lose. You got to play the game that you're best equipped to play. Benchmark plays a different game than than say Andre

34:39 Hollowitz, but both of them play different games and both of them do well at their game.

34:43 We mentioned podium earlier and going to 100 million with their agent first product. The growth is incredible and the growth across this cohort of companies is dude we were doing this

34:52 eight years ago when you know you went from 1 to 10 at Slack and it was like holy [__] that's amazing. Now it's like

34:59 1 to 10 is is still great but there's quite a few who've done 1 to 10. How does your mindset change around growth expectations for the companies that you

35:08 invest in? Is a world of triple triple double double dead. It's not dead, but it you it's no longer elicits the

35:16 jaw-dropping uh awe that it used to a few year few years ago. As you said, I mean, you know, the 1 to 10 is becoming

35:23 more and more common. Uh and and you know, those numbers will basically get you I mean, lovable could probably go public with that kind of trajectory.

35:31 Now, the bigger question for me is uh durability. Um, and it's not even quality, it's durability. Because like

35:38 you and I discussed, margins can improve over time and will improve over time. So it's not about margins, it's about is this revenue durable? And so retention

35:47 is is basically very important for me to understand are people using it as I think we saw in the first wave of AI we saw many uh chat GPD like there was a

35:56 company called Jasper not to pick on them but they went from 1 to 40 and then they came back from 40 to 10 or something like maybe 1 to 100 and 100 to 40 within very quick time frames. So

Chapter 11: Why VCs Consistently Get Market Size Wrong (Shopify Example)

36:04 there's a lot of tire kickers out there especially in proumer products who test the product and then move on to something else. So what you want to look

36:12 under the hood beyond behind all these numbers is two things which I think are the fundamental indicators of business quality. Customer retention or gross

36:20 retention and then net revenue retention. Um basically if those two I think are the biggest indicators of quality. I would always take a company

36:28 that's just just I should say just as crazy doing a triple triple double double with excellent gross and excellent net revenue retention than a

36:36 company that's growing 10x in a year with really bad customer retention and less than 100% or less than 90% net revenue retention.

36:44 How do we think about ceilings on those markets? And I'm specifically thinking about one that haunts me which is granola. I was one of the first ambassadors to meet Chris and clearly

36:53 granola has crushed it and is an amazing product but customer retention skyhigh, revenue retention skyhigh.

37:02 Honestly, if anthropic or open AAI did an enterprise product that's not taking and it's connected to all of the different suite of products that they

ze that Granola is able to expand into into large enterprise. How do you

factors like that that could impact it?

ally weigh the retention in the light of what they have encountered.

st like you want to weigh the growth of a company uh in in light of have

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37:38 seismic events, you've got to then take it with a grain of salt. What comparative threats have you faced? Has a single competitor come out? Have you been able to ward off that? has your retention stay strong in light of that?

37:48 I do think I think some of these some of these products like granola etc have uh we'll see if they are the case but they

37:55 are these unique products that really open up non-conumption markets which means that I would never have actually

38:02 bought a noteaker before uh a separate noteaker outside of zoom or something cuz zoom comes with its own noteaker gym it comes with note taker but gorilla is

38:10 so powerful that it basically got me to consume a separate note takingaking product and it's probably true for many of us and and I I think that just changed the market opportunity for them.

38:21 I think Uber and so on are great examples where they just saw non-conumption markets also do gamma you've got Google slides.

38:29 Exactly. Great. The very good parallel non-conumption market you would never assume. Why would you ever buy a PowerPoint thing or a presentation thing

38:37 separately? It's a non-consumption market. It's a zero market. But the product is so good, so remarkable that it gets people to to buy it separately

38:45 as a separate SKU. Power to them, more power. I think we need more of these standalone remarkable products. Intuit is a great example. As you know,

38:52 Microsoft tried to crush into it again and again and again back in the 80s and '90s with bundling everything into office. But in Turboax survived and thrived.

39:00 Okay. But does that go against what you said earlier about the need to be multi-product? You know what you've done with Gamma is you've taken slides out of

39:07 Google's G Suite and made it on steroids amazing very deep featurerich in a way multi product they can't just be a

39:15 single product and go they will need to have a second product I'm sure of that they will need to have a second product in it has multiple products

39:22 okay but what's what's grod and gamma's multi-roduct I don't know why gamma would not create a s just like they've they have taken

39:30 their riff on powerpoint why can't they have their own take on documents or slides the same way. I have to assume it's basically the different kinds of

39:39 content that people create or even websites.

39:42 It's hard to see. Um we'll see.

39:45 Both both of them are in a wave of incredibly hot attractive companies which have lower margins than we are

39:52 used to in traditional SAS mines. How has your mindset changed or stayed the same around margins? How should I think

40:00 about margin assessment when looking at companies today? Yeah, I think uh inference costs are dropping. So you automatically uh assume that margins in

40:09 theory should go up. Uh but I think it's it's not about margins in year 1 or two.

40:15 The more defensibility or leverage you have u in some ways over your customers and what choices they have. Uh the more pricing leverage you have. So I would

an cost decreases. A good example is PayPal rolled off both of us

al back in the day raised prices five times in 3 years because there's dn't do anything.

e to say I don't know how if they have raised price or not but I know that

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40:59 margins. So first of all you and I both we don't look at margins in year one and two. I mean it doesn't make sense even years four and five. But you want to

41:07 have on one side the ability to increase prices. On the second side you want ability to cost to get lower. I think that second thing is happening by by

41:15 nature. What you want to see is in addition the ability to have such a good product and ideally multi-product a story which makes switching really hard

41:24 and you can raise prices. Can I be blunt, dude? In the environment that we're in today, the two things that you said there, ability to increase prices and margins in years 3, four, and five.

41:34 Dude, the world is changing so much. I have no idea about their margin structure in years 3, four, and five.

41:41 It'd be poetry.

41:42 You don't you don't look at margins. You look you look to see whether or not they have they have a product that is compelling enough. For example, I think obviously Disney Plus is a Disney Plus

41:51 for every year. I think they increase prices on me. like they've gone from $20 to 30 to 40 or something like that.

41:58 Amazon Prime is another one. But this takes many years. But you want the potential. You want to evaluate the potential. the potential?

42:05 Do they have the ability to increase prices in the future?

42:07 My dear friend, if you have margin is much less, it's not something I worry about. I think durability and defensibility is much more of a worry. I think good companies if they're

42:15 defensible, they will have the ability to increase margin. That's what I was saying actually. Have you ever shopped in Chanel Gawkle?

42:22 Uh I I have gone into I think they do have stores or mini stores. Yes. I've never shoed myself for life as Yes.

42:30 I buy my mother every year Chanel handbag for Christmas and birthday. Do you know what they do every 6 months? Prices up 10%. Every 6 months.

42:40 10%. Dude, 10% for the same product.

42:44 I I used to buy a handbag and it was £500. Now it's £10,000. Holy cow.

42:49 My question is how we should invest in LVMH. Clearly um durable, defensible 100 plus years, right?

42:57 100%. And dude, in a world of increasing wealth inequality, actually awful statement. Can you have good

43:05 businesses selling to non-wealthy people? You've worked in fintech before. You I think Robin is a good example. I think

43:14 you've got to have massive scale. I do think a u I'm an investor called Atlas,

43:19 which sells to billionaires, is the opposite. It's a great business. It just you you need massive scaling. You need a veg product that is almost cheap or

43:27 free. I mean, Robin Hood, you have to have free canonically in your thing.

43:30 Robin Hood obviously offered free stock stock trading for a long time and that was their core pitch and that allowed them to basically get a lot of people.

43:38 You need to have something free or some hook that is really low cost that allows you to expand. But it is a harder

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ugh that you need millions if not tens of millions or hundreds of wealthy people or large

ss equivalent of selling to wealthy people they have I think what less

on or 30 million or 100 million or billion. It's an easier business to

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Chapter 12: How Series A Investors Survive $300M+ Startup Valuations

44:17 customers. Do you bother to do market sizing today given the transients of markets? As you said there, some of the best companies make you pay for things

44:25 you never thought you'd pay for. Do you bother to do market sizing?

44:29 I think non-conumption is the biggest challenge. But yes, you can't not do market sizing. I do bottoms up with a specific segment and I always know I

44:37 think any customer base that has more than 10,000 customers or a few thousand customers, you got to segment them.

44:43 There'll be a few different segments. So you want to understand within each segment what the bottoms up propensity to pay is. What's the problem you're trying to solve with them? And then

44:52 you've got to talk to them to understand what the budget is. You got to do the work.

44:55 What's your biggest misread on market size and how Shopify? I remember seeing Shopify at a billion and I was like how many how many e-commerce merchants are there really?

45:05 Um and that or maybe even before a billion one of the early rounds. So Tam felt really concerned. I think what I missed was that Shopify was not just

e-commerce. It was basically allowing anybody to sell. So it basically changed any entrepreneur on the planet, anybody who wants to sell

45:20 something went. So it it wasn't just existing e-commerce merchants. And that's what you want platforms to do.

45:26 They literally make it possible for every person every person to think of the possibility of selling or renting their home out or taking a ride which

45:34 they never would have thought before or or installing a buying a new presentation app or a note-taking app.

45:40 They are the biggest hits. They're also the biggest misses. If the bet doesn't play out, they're screwed. The bet plays out, they could be bigger than anything else. Google non-conump. Many of them are non-conumption market. They're new behaviors that didn't exist before.

45:51 That's in some ways what venture is all about. It's not about existing. It's about new behaviors and betting on them. Facebook non-conumption market. I mean,

45:58 right? I mean, think of all of these iconic companies.

46:02 The thing that's amazing with Facebook is the ease for you to dismiss it for being the 52nd social network. I mean we

46:09 forget now that Franster and MySpace and everything before it had been bluntly there had been so many and

46:16 the biggest difference was identity and friends and MySpace you didn't know who the people were they didn't have the real photo they could come up with their

46:23 thing I remember when Facebook had to go into Japan Japanese cultural norms were that all the Japanese social networks back then were incognito you couldn't

46:30 for some reason maybe saving face or something you could not share um your your real name or your photo so everyone said Facebook, you've got to adhere to

46:38 Japanese cultural norms. You've got to change Facebook and make it similar.

46:43 Mark said absolutely not. Even if it takes us longer and they they succeeded. They succeeded.

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ng future decision making? My biggest mistake is I lose or make money

or not attracted to it in a way that could subvert decision- making. How

ng where you've got to take every every opportunity at first principles.

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47:20 Because he lost 370 million on Webban less than a decade ago. He burnt it through. Same space Apura comes to him.

47:28 He bets on it. He bets on it after losing hundreds of millions of dollars.

47:33 It is not all sequent to the ground. And think about the first place he was thinking needed and the

47:40 courage needed to make that bet. I think it's brilliant.

47:43 You got you've got to laugh at being a Sequoia partner. You're going, "Dude, not this [__] again. Come on, Mike."

47:48 Like really. I'm so curious to see how he like just incredible.

47:54 You're like, "We know you did Google and like we love you, but come on. Not food delivery again.

48:03 online grocery shopping. Exactly.

48:05 Dude, market is one way we trip ourselves up. Oh, market's too small.

48:08 Market's too small. The other one that I always make mistakes on is price. Uh,

48:12 how do you think about when you reflect on you've done so many good deals? Are the best deals the most expensive in your experience?

[illegible] there are two ways I've now realized after many years of doing this at CDNA, price almost doesn't matter if you're [illegible] the company. So, I

48:29 think you just invest at whatever the price is. I for example I invested in the seed round of fair at back in the this is about 8 nine years ago 20

48:36 million which is very expensive for a seed round at that time it was the highest price YC deal at that point I think it's been a 100 or 200x for me so

48:44 I think you you invest in a company which is great you have conviction you invest now I think the B I think B+

48:50 that's when price starts destroying returns I think by then you got real revenue real traction you got to you can pick a generally good company and still

48:59 get crushed For example, one of my friends invested in this security company at basically at uh when they had 100 million in revenue.

49:08 He invested in them at 4 billion. I think they've gotten to 500 million in revenue, but guess what? They're still

49:15 at 4 billion. Uh and so basically, they will not make 1x the capital they invested. And so that's a challenge I think. But guess what? Even in VW,

49:24 Benchmark made money. Benchmark made money at Weiwork because they invested early enough. So I think at subund million and maybe that's an arbitrary

49:33 number you can if the company is good you'll make money regardless.

49:36 You mentioned we work there. We'll get to selling because I used it in an as an example in a show we did with Miles Clements from Excel. Um but I just want

49:44 to touch on like the A market there and you saying about pricing kind of where it matters where it doesn't. I'm with you 100%. But we're seeing 100x ars for

49:52 3 million revenue companies and they're being priced at three $400 million in this new environment. How do you advise

[illegible] rket where A's are not 10

500 and 30 to 50 million rounds.

[illegible] e to do. One is I think where there is less legibility on the company

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50:34 subund million a million or so. But then as soon as it gets to three or four, it gets you maybe you can do a couple of deals like that. But I don't think you

50:42 can build a series A fund doing deals at three or 400 million. Uh because it's not going to be enough ownership. These some of these are going to fail, etc.

50:50 But most deals I think you you've got to you got to have double digit ownership.

50:53 You got to invest slightly earlier. It's a tough it's a tough game, but got to be patient. I think the good news is like I said I think uh it's concentration is

51:02 your friend in some ways but it can be your friend because then you don't feel that you got to do 10 deals a year you can do four deals a year and do 15

51:10 companies in the portfolio dude you've got 250 million bucks in the fund you've got 200 million when you actually look at investable cash if you

51:17 don't have any reserves you've got say 10 20 million series A checks if you're wanting to get ownership double digits

51:24 that we all say that we Is that enough? I'm not being cynical.

51:29 I'm asking for my own advice. Is that enough? You have to have reserves. We have 35% reserves. So, you have to have a

51:35 No, I've got Come on. We need a bigger fund. This doesn't work.

51:40 You've got to have a mix of You got to have a mix of seed and incubation bets and a mix of series A bets. So, the incubation bets are bets you take on

51:48 founders who are basically the best in the world at what they've done. A good example, I think, was um invested in a company. This was before marathon but

51:56 with my marathon partners who were part of the marathon they led the round with venode venode coastline and Mickey Malcad ribbit and a company called lead

52:04 bank which was my colleague Jackie Reese's yeah I I interviewed her she's amazing so that was inception round at like some

52:11 crazy valuation I mean very strong valuation not a crazy valuation but a strong valuation because Jackie was Jackie and she had built the bank at square she built this bank again so you

52:20 want somebody in a industry where they know the inner workings of better than anybody else in the world and you say you back those people and that's a much

52:27 much better riskreward there. So you want to do a few of those in addition to you want to do a few incubations and seed in addition to u in addition to

52:34 series I think you're doing that right in some ways I think you got to mix it up as an early stage fund I think every firm I I think every early stage firm I

52:43 think you got to have an access to founders and they you're their first call when they go to start a company and then you meet founders you don't know them before you're kind of betting on

52:51 traction and so on you got to have a mix of both kinds do you buy the proprietary found again this is where I get grumpy as [__] but I've done 3,000 shows, dude. You know,

53:00 at some point you have to get cranky.

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roprietary founder access.

nd I think founders, you basically have to I think build if you're just

n. But what you have to offer them is something. What you offer them

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53:28 council? Yes, that's free. Is it a Is it distribution? You offer incredible distribution. Is it a network of customers that you can get them access

53:36 to? Is it like talent hiring? What is it they can do?

53:40 Do the best founders need you? Keith Ro always says the best founders do not need a venture investor's help. You've worked with the best. How do you feel?

53:49 They may not need it. I I don't know. I think uh in I generally agree with Keith that on the margins investors don't add

53:57 value and the value they add gets less and less as a company grows. But I do think there are a few points where a few

54:05 things you can do on the margin. For example, helping them choose between this candidate or that when they're hiring, helping them think about go to

54:13 market that could make a difference between the company being a mediocre exit or an outcome or being a generation company. You don't need to do everything

54:21 for them, but just those one or two things that you can help on in on the margins can hopefully be the difference.

54:28 What would be your advice to LPs when they are consistently sold by GPS like me and you proprietary founder access?

54:36 Oh, I have the best network. I'm a super smart fintech expert, so I know it better than anyone. What would you

54:44 advise them on manager selection when everyone says proprietary founder access?

54:49 Very simple. Go and talk to the founders. Go and talk to the founders and see why they chose especially the earliest stage founders. Uh go to the

54:57 seed founders that they invested in and the inception stage founders and ask them what was different why did you choose them? What are the options you have? And I think you've got to use the

55:05 data to basically you can't just rely on everybody. You're right. Most VC pitches look the same. What you want to do is

55:13 dig one level deeper and talk to the founders themselves and understand for each of the last five companies that they invested in, why did this founder pick uh this firm?

55:24 Can I push back on the model that you have and just pretend that we're a hypothetical partner? Okay. You have 35%

55:31 reserves. Why is that optimal over just having more lines in the portfolio? When you hear about the 100x 200x multiple on

55:39 fair, I'm like focus on ownership, have more increase diversification and take away the reserves. Why do you I think there are two ways of operating.

55:49 I'll give you an example. Uh trade desk where I'm on the board had two seed investors. Uh I ventures Roger

55:58 Arinberg who's absolutely a goat and then uh founder collective again goat firm. both of them. So they have two

56:06 completely different philosophies. U founder collective only does first checks they never do any praa afterwards

56:12 period. Roger on the other hand doubles down again and again and again. So trade desk raised I think two or three rounds of financing. That's it and went public

56:21 very early. It was very hard for them to raise financing. So the multiple that uh founder collective generated was incredible because they only invested at

56:29 the seed round and they got it at 5 billion or something like that or even more. or I think they held for longer while Roger

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there are two philosophies. I do think if you look at uh my philosophy

rforming funds a huge part of their success is basically doubling down

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57:00 companies should we double down on and I think if you double down properly it changes the complexion of the fund because you have much more insight I

57:08 would argue that if you if you work closely with these founders you have much more insight into these companies and how they're going to do

57:15 and even how they think about the future opportunity because you've thought about it with them than a random company you meet. Now there is a balance there. You

57:24 don't want to be overconentrated but I would argue that if you have x number of bets shoot I mean and you work with the founder and you think highly of them.

57:32 That's why each founder fund founders fund fund is named after the company that makes it like in in colloquial terms. There's the Andural fund, there's

57:39 a SpaceX fund, etc. Why? Because that one company is the one that makes it. And that's the reality, Harry. I mean,

57:46 literally, um, you have one company most likely, one or two companies that will drive most of the returns of any any given fund. The question is, do you just

57:54 want to have the initial stake? Do you want to increase your probability of finding the initial company or do you feel like you you there is a explore

58:01 exploit thing, right? Where do you stop exploring and when do you stop exploiting? So, different people have different points of view there. My fund one could have been, which you're an

58:09 LPN, and I'm very grateful to you for supporting me when I was 18, 19. Um, but it could have been at one point the Hopin fund. It could have been the

58:16 clubhouse fund. Um, and it turns out that it will most likely be the linear fund. I think I think Linear is a great business and we were very early there.

58:27 But my point being with the transitions in name, it wasn't obvious. And so my question to you is with preemptive

58:34 rounds coming so fast, how accurate do you think you can be in predicting the winners? Because it definitely wasn't

58:42 obvious to me. You got to be thesis driven first and foremost. I think what we are is we think about what is the thesis. In other words, you've got to

58:51 have a good sense of who the other companies are and players of in the space and you've got to understand why this company is better than every other

58:59 company. What on what dimensions is it better? Is that the dimension? Is that durable enough over a venture time frame which is 7 to 10 years or even you know

59:07 maybe 10 to 12 years now. So you've got to do work. You've got to be thoughtful and patient. Remember what being concentrated does. It gives you more

59:15 time. It gives you more time to meet companies. It gives more time to think.

59:19 It gives you more time to be helpful to companies. But you don't feel the pressure to deploy on a monthly basis.

59:26 So if you look at a 30 portfolio company portfolio fund over 3 years which is the initial deployment period you're basically almost investing one company a

59:33 month and so that's incredible like I almost feel there's pressure on the folks who do 30 to 40 to do basically one company as a partnership per month

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ou would ask me who's one of my favorite Neil you mentioned Neil was

funds are 65 companies so 11 companies per fund He's an absolute

rned over $2 billion. I The [__] thing about my life, Gogle,

feeling like a total loser.

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1:00:16 Yeah. I mean, just I think you've gotten better with every one of those interviews. I've seen just your style and just your your investing.

1:00:23 Who do you learn from?

1:00:26 Entrepreneurs most of people in the arena. I think uh for me since I'm so u and our firm is so trend driven and we

1:00:34 uh we really care about what is the thesis, what's the market, the best way is I think you can talk to investors but they're always one click away. You've

1:00:42 got to talk to people who are in the trenches building products. You've got to understand what's changing in their lives, how they're thinking about the

1:00:49 customer. Um and so I think you got to today's world you've got to stay close to the model companies for example. So I have people that I meet with at each of

1:00:58 the model companies to understand what's coming down the pike, how they thinking over the world etc. Because like you said you got to also understand I we always use a joke um uh this joke like

1:01:08 this was 10 years ago. If you're a startup which is directly in Google's road map like directly you should not be building it because Google is very good when something is directly in road map.

1:01:17 like a tank. They would just roll over you even slowly slowly but doesn't matter. They were implacable. They would roll. ven 10° to the

1:01:25 side, it's very hard for them to like move like that. So, you're generally safe because it's just not they're just rolling in one direction. I think you

1:01:32 just want to know what direction the the turrets or the guns are pointed at uh for each of these models. I mean,

1:01:38 there's one part of the is what the labs are going to do. The second part is what a customer is going to do and what customer behaviors there are. And so you want to talk to I think you do want

1:01:46 learn from entrepreneurs a little bit to better understand who are the companies but then you want to go and talk to the companies themselves and you want to understand you talk to three or four

1:01:54 companies in the same space you very quickly I think I'll never forget I think people who met Tony at Door Dash and many of the other folks who were

1:02:03 fundraising at the same time they always felt Tony had a deeper understanding of the same market than others globally and

1:02:11 so you basically want to meet that's why I My biggest regret is one of my biggest regrets is actually passing on Vanta uh

1:02:18 because I met Christina but I had already committed I was like this person is going to win the market but I had already committed to another company in

1:02:25 the space and uh sadly enough I I believe in like once you invest in a company as an angel I didn't have the time to scan the landscape and meet with

1:02:32 all the companies in the space and that's what I do now. I have time but you know Vanta is um will be definitely part of my anti portfolio. I think it's

1:02:40 part of yours too if I remember correctly. Oh, D. Elad sent me and he was like, "Dude, this is amazing. This is amazing." Every time Elad sent me something and said, "It's amazing. Just

1:02:49 [__] do it. Do not think you're smarter." Is my takeaway there. Um,

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"Do think you're smarter."

friends where I'm like,

, anyway, we mentioned we work earlier. I use Wei work as an example

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1:03:17 care about DPI today more than ever. How do you think about liquidity and when's the right time to take chips off the table? As an angel, I used to hold till IPO.

1:03:26 So, Figma had many liquidity opportunities during the years, but I kept kept holding it for 13 years till it went public. And uh I think at the IPO, it was actually priced very nicely.

1:03:37 Unfortunately, after the IPO, it has been uh it has been more challenging price-wise. Uh but I think as a as a

1:03:44 fund investor, it becomes interesting. I think there are two situations. One of the things I think most early stage firms get wrong is they just focus on

1:03:51 mo. They don't focus on irr and mo is multiple invested capital. I think IRRa matters a lot as you know. And so you

1:03:59 can have an LP told us about a firm that gave them a 7x mo over 20 years and that was a teens IRRa and that is like okay

1:04:08 you know there's something crazy here I mean that is an a venture venture venture firm and so you've got to look at go forward IRRa and your projection

1:04:15 if your go forward IR at every liquidity opportunity is lower than what you are basically promising your LPS or what you

1:04:23 think your fund should have I think you should sell I think you have an obligation to LPS be to at least sell. I like Fred 'rategy around

1:04:30 selling which is sell a third, hold a third and trade a third. This is when the asset is completely liquid. Uh but in this case, I think you want to sell

1:04:39 at least part of it. Especially if the asset is a uh is a is a is an is a company that'll return a chunk of your

1:04:47 fund. So if you're going to return 20 30 40% of your fund, I think you you you owe it to your LPS uh to sell a piece of

1:04:54 it, especially if the go forward IRRa is not um is not compelling.

1:04:59 On top of that, you then have the hold period after the IPO where you have, you know, obviously you're Exactly. And you don't have Exactly. And that's another uncertainty. So I do

1:05:08 think the secondary markets have been one of the best or most interesting developments over the last few years.

1:05:13 And so now all these great companies have pretty liquid secondary markets where you can sell sell shares.

1:05:18 Obviously there's Roofer and so on the company has I do think uh there are these hyperlquid periods in the market and now is one of them. So I do think

1:05:27 one should be very careful and thoughtful about what the go forward IRRa is uh for any asset one owns and really think carefully about whether one should sell or not.

1:05:38 Can I ask you when you look back at the angel portfolio, what's the biggest regret?

1:05:42 Pattern matching too much. I think a good example is Quinc recently raised at 10 billion. I saw Quins 4 years ago when

1:05:50 it was at 100 million valuation and I was like a D2C company D2C companies are kind of on the downswing. How how good

1:05:57 can this company be? What do you you know? So I I literally just dismissed it. I didn't even look deeper into the company. And you know I think um yeah I

1:06:07 think I what's the what's the takeaway from that then?

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stry and say it's good or bad within every industry within every

are mediocre companies and you've got to understand each company's

repeat purchase rate, which was like higher retention than most

to that versus dismissing it.

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1:06:45 respectfully when you said about kind of your trend style of investing is actually some of the biggest misses I also have is when there's an amazing

1:06:53 founder that's clearly amazing but operating in a bad space and they pivot 3 months later into a good space but I turn them down when they're in a bad

1:07:01 space and I'm like I I don't care what they're building. I don't care what trend it is. Goal, you're amazing. If

1:07:08 you're selling pillows, I'm in. If you're a seed investor, if you're a pure seed investor, I think you have to do that. I think that's what VC does,

1:07:16 right? I think that's actually the right way to do pure seed investing. First round capital, I think, is a one of the best seed firms. Guess how many companies they have in their each fund?

1:07:24 80 companies. Why? Because you got to take 80 bets, which means that some of them and YC of course best seed investor of all time or preede. I mean, you've

1:07:32 got to take hundreds of bets because most companies will pivot. But I think as a concentrated portfolio, you've got

1:07:39 to basically understand the business and you've got to bet on both the business and the founder. Unless again the

1:07:47 founder is an N of one founder in a space. I I I think there are two categories of actually there's three categories of ɔme way.

1:07:55 There are repeat founders who know a space exceptionally well who've done it before. You're betting on them again and again to do it. The security is a great

1:08:02 example. Security is full of repeat founders. They know the market. They know the they know the history. Uh they know the customers all of that. Uh but then there are consumer companies.

1:08:12 Consumer internet is full of first-time extraordinary founders. Mark Zuckerberg,

1:08:15 Larry Page, all of these are just first-time founders. So those are two archetypes. The third archetype that has come up is AI labs researchers. uh uh

1:08:24 and so I think you you know that that one is a more interesting bag where you have of of course Daario and and and and the open AI folks but then you have a

1:08:32 bunch of other labs that came up and ultimately didn't turn out to be anything. Um so you want to for these kinds of folks you as a as a seed

1:08:41 investor you just want to blindly write a check into them a brilliant young person uh who's done something extraordinary um a repeat founder or

1:08:50 maybe an AAB researcher will will you do a frontier model uh a

1:08:55 neolab uh periodic labs uh uh ineffable where they're clearly [__] amazing

1:09:03 people pedigreed to the hills but the price is in the billions.

1:09:07 Not possible. I don't think with our fund it's possible. I think the ownership is just literally the first round for these companies is like you said a billion dollars. So I think it's

1:09:16 just too high a the riskreward is just not worth it.

1:09:20 Are you seeing the mega funds cannibalize the business model of our series A?

1:09:24 Uh they're playing a different game. I think uh smart founders are look I think I I think very highly of the mega funds.

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ion checks almost as an option and a lead lead generation for the for

o have an index at the A of every single good A company um and then

triple down and quadruple down and do SPVS in them and and do

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1:10:06 founders, good founders have started to look beyond just the fact that they can get 10 million very quickly from a mega fund and say what am I getting here? We

1:10:15 see many examples actually in mega funds of um partners leaving the fund um and the companies orphaned within the mega

1:10:23 fund because their partner has left and now they don't have a single person to advocate for them in any way, shape or form and they're a drift and anybody who

1:10:31 so repeat founders actually what is interesting is repeat founders are most likely to uh essentially know uh and see

1:10:39 beyond just the glitz of a mega fund in some ways because many of them have gone through especially the ones that have started a in the in the last five or six years uh

1:10:47 we have many stories where the the mid-level partner at the mega fund has left who was their partner and then they're like okay [__] you know I

1:10:55 basically don't have an advocate in the fund and I now am left with a person who I don't know um and they don't know me

1:11:02 and uh they're joining their board my board and that's a tough one you've seen Nikico Bonatos you've seen Max Gazour you've seen Arif Yan Muhammad you've

1:11:10 seen or are we just seeing the start of this continuing wave and there will be a huge amount more spin outs or do you think we're going to see that cel?

1:11:19 I think we're going to see a more spin outs. I do I do think there is a limit but I do think you're going to see the you're going to see these mega funds

1:11:27 train again more waves of investors and these investors are going to realize that being a mid-level partner at a mega fund is not what it's cracked out to be.

1:11:36 So they're going to spin out and go back to, you know, the way of doing things that venture used to be 20, 30 years ago, which is a small group of partners,

1:11:44 uh, building a deep relationship with entrepreneurs.

Chapter 14: Quick-Fire Round

1:11:47 Uh, listen, dude, I want to do a quick fire. So what have you changed your mind on in the last 12 months?

1:11:53 I used to think pure remote would u would scale for early stage companies if you had the right culture, but I don't think that anymore. I think you've got to be in person at least a few days a week.

1:12:01 What what what made you change your mind there? I think just seeing a few companies where literally the companies died because the founders were unable to

1:12:09 agree. They had everything going but the founders were just not in the same place and they were just not able to move fast enough and agree and align on the

1:12:17 strategy and change things. So iteration speed just suffers massively if you're pure remote. It doesn't need to be 5 days a week but at least 3 days a week.

1:12:24 Biggest advice to a young person leaving university today.

1:12:29 I know it feels exciting to start a company. Everyone's doing a startup. AI is a new way but my strong advice is to first get two to three years of work

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ou won't regret it you'll learn a lot both the experience and the network

t life is long work get some work experience before starting the

unds a seed fund a series A fund and a growth fund which three are

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1:13:07 oaks first round would be the seed bench with the sea and green oaks would be the would be the growth wow that wasn't a hard one was it you

1:13:15 thought about that mo most people are like oh I can't do asked us this question uh they basically said I don't know whether they were asking us for they literally asked us

1:13:23 okay what's so I I've actually answered this question LP before dude that's fantastic what has been the hardest decision that you've made in

1:13:31 your career you've left amazing companies you what's been the hardest decision leaving Google leaving Google I think there was a saying you leave Google only

1:13:39 once so leaving Google to start a company I was on a pretty incredible trajectory there I was learning a lot really enjoying it but it was really tough to leave Google I don't regret it

1:13:47 but it was very very hard to leave Google who's the best CEO you've ever worked with all four of them Larry Mark and Tony and

1:13:56 now Brian Armstrong um Bill and Ben at Pinterest it's a hard one I think all four of them have different superpowers.

1:14:02 I would say the best technical CEO Larry Page, the best growth centric CEO, Mark Zuckerberg, the best designcentric CEO,

1:14:09 Jack Dorsey, and the best uh physical world operational CEO, the most likely be Jeff Bezos next Tony Shu. I'll take that. That's a good one.

1:14:18 What's the biggest miss? We've said Vanter. Is it Vanta?

1:14:20 Quinc. Quinc, man. Uh most recently Quins, but to be honest, even bigger miss than that in some ways. is not a miss in terms of investing. It's that I

1:14:29 couldn't predict that Facebook could be a $2 trillion company. When our company was going to be acquired by Facebook, I was arguing with the corp dev team at Facebook and we were arguing over the

1:14:37 terminal value of Facebook and we had to put China into the mix saying entering China will get us to 40 billion in market cap and we were arguing whether it was 20 billion or 40 billion in

1:14:46 several years from then. This is in like 2010 and turns out in less than 10 years 11 years it was a trillion dollar company. So when these things work, they

1:14:54 work in a in a scale that is unimaginable. And even at Google, I remember very well after the IPO. I was there during the IPO and we were sitting around with a bunch of PMs and we're

1:15:02 saying, man, the the company is valued at 30 billion. It's too expensive, too expensive. And so you just these things compound and uh it's just incredible to

1:15:11 see these things become trillion dollar companies. So Facebook and Google in some ways the biggest misses in terms of not being able to predict that they were going to be multi-trillion dollar

1:15:18 companies. Which angel investment is the highest multiple? Figma.

1:15:26 What was the multiple?

1:15:27 Uh five of between 500 and 1,000x at the time of IPO, but it has sadly gone down since then.

1:15:36 Oh, 500 to a,000x. Jesus Christ. Um,

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the next 10 years? I like to be optimistic. I think we have too much
ed about this.

ckling the hardest problems. I feel uh there is the ambition with AI

the ambition of entrepreneurs tackling the hardest problem facing

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1:16:14 who are not just you know building these you know small companies but they're truly taking on humanity problem. So the answer to Peter Thiel's question of we

1:16:22 were looking for flying cars and we got 140 line you know what 140 word uh uh 140 character apps I think has been is

1:16:30 finally I think we're coming it's coming into focus. I've got to ask one more, but you said about Peter Teal there.

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Gokul Rajaram is one of the greatest operators turned investors of the last 2 decades. He is trusted as the go to advisor for the greatest founders in the world. Today he serves as a Board Director at three public companies: Coinbase, Pinterest and The Trade Desk. Prior to Marathon (his firm), Gokul served on the executive team at DoorDash and Block. Before Block, he served as Product Director of Ads at Facebook. Earlier in his career, Gokul served as a Product Management Director for Google AdSense. Gokul is also a prolific angel investor, having invested in 700+ companies, including Airtable, Figma, Groq, Runway, Supabase, and Vercel.

Timestamps:

00:00 Intro
01:03 Lessons from Google, Facebook, Square & DoorDash
07:41 Is the “SaaS Apocalypse” Real? Why Markets Are Overreacting to AI
08:47 The 8 Moats Framework: How to Identify Durable Software Companies
12:25 Atlassian vs Monday: Which SaaS Companies Actually Have a Moat?
19:19 Bolt-On AI vs Real AI Products: Why Most Companies Are Doing It Wrong
25:26 Can Vertical AI SaaS Still Build $10B Companies?
28:11 What Happens to Slowing SaaS Companies Valued Too High?
31:44 Seed Pricing vs Outcome-Based Pricing
33:32 Is "King Making" Complete BS?
36:04 Why VCs Consistently Get Market Size Wrong (Shopify Example)
44:17 How Series A Investors Survive $300M+ Startup Valuations
01:03:05 When VCs Should Actually Sell
01:11:47 Quick-Fire Round

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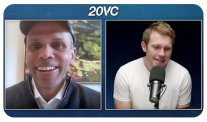

1:03
Lessons from Google, Facebook, Square &...

7:41
Is the "SaaS Apocalypse" Real?...

8:47
The 8 Moats Framework: How to...

12:25
Atlassian vs Monday: Which SaaS...

19:19
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I didn't know Phil Ivey went investor mode

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He;s just naming words and putting moat at the end. Long moat, short moat, up moat, down moat, any moat you will be fine bro!

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His example proves that branding is even more important

2 Reply

2 replies

@Rumblerist 7 hours ago (edited)

oinbase? They are neither 100 mil nor 100 bil (in case I misheard), could you please elaborate?

er to build, all moats are significantly more shallow.

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33:00

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@tonymontana24596 15 hours ago

Yeah I worked at Zoom prior to COVID. We scaled the company to 50 Bill Market Cap, increased reliability infrastructure wide and introduced multiple new products in their UcaaS stack and by the time I left there was 16k employees. People that tell you remote doesn't work are capital B Boomers with trust issues.

4 Reply

1 reply

@earleyelisha 15 hours ago

Interesting that proprietary technology isn't a moat

1 Reply

2 replies

@bagamsnsnsnsns2062 17 hours ago

Remembering April 2003??? I appreciate you talking to ancient humans Harry.

Reply

@RaphaelAlejandro 15 hours ago

I liked Granola.

But we were able to replace better with Nylas APi, batch AI processing and our own internal integrations.

...

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@sophietwinkle 9 hours ago

If you do not have a solid product, distribution won't work. I feel so seen that Gokul said this early in the interview. Worked with many founders, who are bought into the idea that you can singe handedly increase number of users even with a shitty product - it doesn't work for tech products and it won't work either for physical businesses. No restaurants will have customers if their food sucks. Ditto for tech companies.

1 Reply

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he was droppin gems fr! Thank you!

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